

**“The smoke coming out of the reflow oven is against the ecosystem. But in new machines, this is controlled using filters—M.K. Krishnakumar, country manager, Essentec India**



“SMT equipment are not manufactured locally because the domestic volume does not justify it. Once the volume of equipment for domestic consumption comes to a reasonable level, surely the local manufacturing would start. Until then, we need to depend on imports only,” reasons Nair.

### Some suggestions

Chandramohan suggests the government to impose anti-dumping duties on finished products like mobile phones, set-top boxes and LCD TVs in order to ensure their local manufacture, which would boost the sale of SMT equipment.

“There are various challenges that suppliers face today. For instance, components are becoming smaller and smaller, making the design complicated. The products turn obsolete in a short time. Low margins on contract sales make people go for second-hand machines,” says Krishnakumar.

“Quick changes in technology and therefore a fear of return on heavy investments, and longer lead time of components are affecting everything including machine and product delivery,” says Rajendra Singh, general manager, American Tec.

SMT machines, which could cost \$50,000 to \$300,000, are too big an investment for a company in its initial stages while the ROI is uncertain. That’s the reason why many EMS companies are starting to buy second-hand (used) SMT equipment. Used

equipment account for 30 to 40 per cent of the overall SMT equipment sales. Generally, used equipment are available for half the cost of new equipment.

### Where to look

Juki claims to be one of the top manufacturers of pick-and-place equipment in the world with over 23,000 machines installed worldwide.

Essentec is a worldwide leader in manufacturing of highly flexible SMT production equipment.

**“Barring entry-level ovens and wave-soldering machines, all equipment are imported—Suresh Nair, director-sales & marketing, Leaptch Corporation**



American Tec offers Fuji pick-n-place, KIC profiler, Nutek PCB handling, Minami paste printer, Getech PCB router and VIT AOI equipment.

Leaptch offers such equipment as chip shooters, multi mounters, glue dispensers, hybrid inspection systems, automatic screen printers and solar cell printing and drying lines, assembly automation systems and wave-soldering equipment.

3EMST caters to different volumes, from entry-level to high-end lines. For printing, it has both fully automatic in-line and off-line equipment. In pick-and-place, its machines range from 3600 cph to 25,000 cph.

Drive Technologies’ three- and

five-zone SMT reflow ovens are indigenously manufactured in India. The company claims to have the longest duration of seven years in the Indian market with more than 300 installed machines.

PROSEM Technology India is the exclusive representative of Assemblon (formerly Philips EMT) range of SMT equipment in India. Assemblon, still a fully owned Philips company, is one of the market leaders in the SMT placement equipment industry.

### Market forecasts

A report by Frost & Sullivan, titled Indian Surface Mount Technologies Market, says that the SMT equipment market earned revenues of \$54.1 million in 2008 and estimates this to reach

\$88.8 million in 2012, growing at a CAGR of 13.2 per cent.

“Our electronics manufacturing is 7-10 per cent of Chinese manufacturing and we can expect it to double next year,” says Rajendra.

“Availability of cost-effective and skilled labour is positioning India as a preferred destination for EMS and OEM companies,” explains Frost & Sullivan research analyst Bharath K. “With an increase in the perks awarded to foreign direct investments (FDI) by the government of India, many of the global companies are anticipated to set up their manufacturing facilities in the country, thereby augmenting the demand for SMT equipment.”

“From a few number of SMT lines sold a few years ago, now the numbers are in a few dozens. Soon we can expect a few hundreds of setups being sold in India,” adds Gurdal. ●

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